Ch. 30 Practice Quiz

Principles of Macroeconomics

March 4, 2026

Instructions

Please answer the following on another sheet of paper and justify your answers.

1. Explain why stocks aren't considered money in the U.S. economy based on the three functions of money.
2. What is the dual mandate of the Federal Reserve?
3. The money supply is $480 million. The currency held by the public is twice the reserves held by banks. Banks have a reserve ratio of 0.1. What are the levels of currency and deposits in the economy?
4. A bank has $1,000 in deposits and $600 of debt. It maintains a reserve ratio of 10%. It holds a portfolio of securities worth $800 and has $1,100 of loans outstanding.
   (a) What is the value of bank capital? Please write out the bank's balance sheet.
   (b) What is the bank's leverage ratio?
   (c) The bank's securities increase in value by 25%. What is the percent change in the bank's assets? What is the percent change in bank capital?
5. Explain whether each of the following events increases or decreases the money supply.
   (a) The Fed lowers the interest rate it pays on reserves.
   (b) The Fed raises the discount rate.
   (c) The Fed sells U.S. treasuries on the open market.